

Crimson College of Technology

Level: Bachelor

Semester: Spring

Year: 2024

Programme: BBA

Full Marks: 100

Course: Financial Institutions and Markets

Pass Marks: 45

Time: 3 hrs.

Section A

Very short answer questions

Attempt all the questions.

[10*2=20]

1. Define depository financial institutions.
2. What is a central bank?
3. The nominal rate of interest in a given year is 16% and inflation rate is 8%. Calculate the real rate of return.
4. What do you mean by LIBOR?
5. Differentiate between treasury notes and treasury bonds.
6. What are Brady and Sovereign bonds?
7. List out some off-balance sheet items of a bank.
8. Explain about NPA/NPL of a bank.
9. Why we would like to buy life insurance policies?
10. Differentiate between mutual fund and pension fund.

Section B

Descriptive Answer Questions

Attempt any six questions.

[6*10=60]

11. The auction price for a Nepal Rastra Bank treasury bill is Rs.97 given Rs.100 par value and the bill matures in 180 days. Thirty days after the purchase, the investor needs funds and he is forced to sell at a discount rate of 5.8%. This is assumed to be the discount yield on market.

Required

- a. Discount rate on T-bill.
- b. Coupon equivalent yield.
- c. Price of T-bill.
- d. Holding period return.

12. Consider the three stocks A, B and C with the following prices on two particular years:

Stocks	Year 1	Year 2
A	Rs. 1600	Rs.2200
B	Rs. 500	Rs.400
C	Rs.2400	Rs.3000

On year 1, there are 100 shares of stock A, 200 shares of stock B and 100 shares of stock C outstanding.

Required

- a. Construct a price weighted market index using the three stocks A, B and C. Find out the index value on year 1.
 - b. What is the price weighted index value on year 2?
 - c. Construct a value weighted index using the three stocks. Suppose the value weighted index has a base value of 100 on year 1. Calculate the index value on year 2.
13. Briefly explain about the role, authority and functions of Security Exchange Board of Nepal (SEBON).
 14. "Nowadays, commercial banks are called as financial supermarkets". Support this statement by naming and briefly summarizing the primary products and services provided by these banks.
 15. Why commercial banks are regulated? Discuss about different types of regulations.
 16. Briefly explain about different types of insurance companies operating in Nepal.
 17. "Equity mutual funds are the perfect solutions for people who want to own stocks without doing their own research". Justify this statement by taking reference of open and close ended mutual funds.

Section C

Case Analysis

18. Read all case situations given below and answer the questions that follow. **[10]**

Merchant bankers are licensed institutions which facilitate working of capital market through various activities. During the inception of this

concept in Nepal, a majority of the merchant bankers were focused on providing mainly registrar to shares (RTS), registrar and transfer agents (RTA) and issue management services. The scope of work slowly broadened with the introduction of depository participants (DP) related services, portfolio management services and mutual fund operation. Recently, advisory services have become a major domain of work for merchant bankers.

Citizen Investment Trust (CIT) is known as a pioneer merchant banker of Nepal. Merchant banking business has evolved over the past few years. It has seen changes in every domain of its work. RTA/RTS, issue management and DP related services have seen major changes due to digitization in this field. Compulsory dematerialization of public issues in 2018 changed and prioritized DP business. The introduction of dematerialization also changed the nature of share registrar business. Merchant bankers now act as Registrar and Transfer Agents (RTA) along with Registrar to Shares (RTS). Similarly, with the introduction of C-ASBA in 2018, issue management business has also seen major changes. Previously, companies visited merchant bankers for issuance of securities whereas now merchant bankers approach various companies to support them during the issuance of securities to the general public. According to CDS and Clearing Ltd (CDSC), there are 44 registered RTA/RTS service providers and among them NIBL Ace Capital Ltd provides RTA/RTS facility to the largest number of securities in the industry, i.e. 51 securities. Similarly, in recent times the Nepali capital market has seen a massive increase in the number of DMAT account holders and Meroshare users, which is more than five million and over four million, respectively. Portfolio Management Service (PMS) and Mutual Fund Management Service are two other services being provided by merchant bankers in Nepal. Similarly, merchant bankers are currently managing Asset Under Management that is more than Rs 7 billion including both discretionary and non-discretionary portfolio. With these two services, merchant bankers of Nepal have been successfully serving their clients with investment banking services as well. Broadening the area of work,

merchant bankers these days are focusing on providing advisory services to their clients. Advisory services are the most varied nature of work carried out by merchant bankers that help clients meet their varied business goals. Preparation of business plan, financial restructuring, loan syndication, capital restructuring, feasibility study, debt/equity assessment, corporate restructuring, loan rescheduling/restructuring and company valuation are some of the benefits that businesses can derive by approaching corporate advisory services through merchant bankers. As mentioned earlier, merchant bankers these days are approaching companies to help them in issue management through its advisory services. Not only large companies, merchant bankers are also helping small and medium enterprises (SMEs) working in debt financing to support and boost their businesses. Corporate advisory service providers are supporting growth of capital market by facilitating issue management and the entire economy by helping in the growth of SMEs at the ground level. The license of Specialised Fund (SIF) is a way forward for all merchant bankers in Nepal. After obtaining the license to operate SIF funds from Securities Board of Nepal (SEBON), they can work to develop entrepreneurship in Nepal. Funding is a major challenge for entrepreneurs. Without funding great business ideas have gone obsolete. Entrepreneurs will not only find source of funds but also a link with the experts in their field with the help of merchant bankers. Merchant banking business has been gradually evolving and merchant bankers are continuously looking for and tapping new areas of business. They have not only supported the development of the capital market but also worked for the betterment of the economy. With a few decades of experience and expertise, merchant bankers aim to support their customers in solving any sort of financial difficulties and help in their financial upliftment.

Required

- a. What are merchant or investment banks? Elucidate about major functions of these banks in detail.
- b. Explain the role of investment and merchant banks in Nepalese capital market development.